

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MUHAMMAD RANA, *Complainant*

v.

MICHELLE FRANKLIN, D.B.A. "THE RIGHT MOVE" INC.,
Respondent.

DOCKET NO. 19-03

Served: July 25, 2019

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER TO SHOW CAUSE

I. Respondent is in Default and Must Respond to this Order.

On June 10, 2019, Complainant Muhammad Rana filed a motion seeking a default judgement against Respondent Michelle Franklin, doing business as The Right Move Inc. Respondent has not responded to the motion or participated in the proceeding.

The complaint alleges a violation of section 41102(c) of the Shipping Act of 1984 ("Shipping Act") (formerly section 10(d)(1)). Complaint at 1. Complainant seeks damages of up to \$83,580.40 plus costs. Motion at 3. Complainant asserts that the complaint was served on May 2, 2019, via airmail and via email to which the Respondent replied the same day. Motion at 1.

The Commission's rules require that Respondent file an answer within twenty-five days after the date of service. *See* 46 C.F.R. § 502.62(b). The answer was due on June 7, 2019. No answer has been filed to date. In addition, the parties were served an initial order on May 15, 2019. Respondent has not responded to the initial order. Respondent called the Office of the Secretary, but did not follow up with any written filing.

Pursuant to Commission Rules:

Failure of a party to file an answer to a complaint, counterclaim, crossclaim, or third-party complaint within the time provided will be deemed to constitute a waiver of that party's right to appear and contest the allegations of the complaint, counterclaim, crossclaim, or third-party complaint to which it has not filed an answer and to authorize the presiding officer to enter an initial decision on default as provided for in 46 CFR 502.65. Well pleaded factual allegations in the complaint not answered or addressed will be deemed to be admitted.

46 C.F.R. § 502.62(b)(6).

Respondent is currently in default. There may be some valid reason why Respondent has failed to respond. Therefore, Respondent will be granted additional time to respond to the proceeding and to show cause why judgment should not be entered against her. If Respondent fails to respond to this order by August 26, 2019, a default decision may be entered against her, including awarding reparations to Complainant of up to \$83,580.40, plus attorney's fees, and any other appropriate penalty.

II. Complainant Must File a Supplement Addressing the Elements of Section 41102(c) and Damages.

Complainant alleges that Respondent violated section 41102(c) by “engaging in an unreasonable practice related to the delivery of property, breach of agreement, negligence and engaging in fraudulent/deceitful business practices.” Complaint at 1. Section 41102(c) provides that regulated entities “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

On December 17, 2018, the Commission issued an interpretive rule on section 41102(c), which sets out the following elements needed in order for a complainant to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

The Complainant is directed to review section 41102(c) and the interpretive rule to consider its impact. Complainant should file a supplement to the motion seeking default. Specifically, the supplement should explain how each of the five elements of the interpretive rule are met.

In addition, the supplement should provide legal authority, argument, and facts supporting the claim for damages. According to exhibit C of the Complainant's motion, Respondent initiated a wire transfer of \$1,025.00 on May 29, 2019, for “ocean cost that [they] failed to pay in time.” Motion Ex. C. It is not clear from the claim or motion whether this payment was received. In addition, generally, complaint filing fees, emotional distress, and punitive damages are not awardable to the prevailing party.

The supplement should also explain the basis for “piercing the corporate veil” to find the Respondent personally liable for any damages awarded. The Commission has considered several factors, such as “the nature of the corporate ownership and control, the failure to maintain adequate corporate records and minutes, and the failure to follow corporate formalities, including the approval of stock issues by an independent board of directors.” *Ariel Mar. Group, Inc.*, 24 S.R.R. 517, 530 (1987).

It appears that the facts in the complaint may support a violation of section 41102(a) that provides that “a person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” 46 U.S.C. § 41102(a). If Complainant believes there is a violation of section 41102(a), the Complainant should provide any legal and factual support in his supplement.

III. Conclusion

As stated in the initial order, pursuant to the Howard Coble Coast Guard and Maritime Transportation Act of 2014 (Coble Act), 46 U.S.C. § 41305(e), and Commission docket no. 15-06, attorney fees may be awarded to any prevailing party in a complaint proceeding, it is therefore in the best interest of both parties to resolve this quickly.

The parties are advised to explore whether this dispute can be resolved with the use of the Respondent’s OTI bond or by settlement. If the parties reach a settlement, the settlement agreement should be submitted to the Office of the Secretary as an attachment to a motion regarding approval of the settlement agreement.

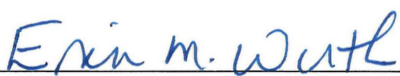
IV. Order

For the reasons stated above, it is hereby

ORDERED that on or before August 26, 2019, Respondent file her answer and show cause why a decision on default should not be entered against her. It is

FURTHER ORDERED that on or before September 10, 2019, Complainant file a supplement regarding the elements of section 41102(c), the calculation of damages as discussed above, and whether a violation of section 41102(a) has occurred. It is

FURTHER ORDERED that on or before September 17, 2019, Respondent file any response to Complainant’s supplemental filing.


Erin M. Wirth
Chief Administrative Law Judge